

least consider this factor when searching for a property. Just as you should run the numbers for your monthly mortgage when you find a house you like, you should also run the numbers for its potential as a rental down the line. It might sound overzealous to do the math for something you're not even sure you'll take advantage of, but you can never be too careful when putting a significant portion of your life savings on the line.

In this chapter, we'll give you a broad overview of the ways in which your home can generate income as a short-term or long-term rental property. There are also creative strategies that homeowners have used to "hack" their housing to help cover mortgage costs while still living there. Not every tactic works for every situation, but we'll summarize the options that are available to help offset the cost of homeownership.

(When we say "hack your housing," we mean that you might not have to pay some or all of your own mortgage. In fact, you may even *get paid* to own your home. Do we have your attention now?)

THE NUMBERS BEHIND LONG-TERM RENTALS

A great first-time home purchase will allow you to *cash flow* the property—that is, generate sufficient rental income to cover mortgage payments and maintenance costs—in the event that you move out. Done right, this strategy can result in your rental property covering all its own costs with a little money left over. That money goes right into your pocket, all while paying down your mortgage and building equity.

You already know some of the expenses associated with owning a home from our earlier chapters, but let's dig a little deeper.

Homeownership Expenses

First and foremost is your mortgage payment, which usually includes property taxes and home insurance. For the sake of this discussion, we'll just call it a mortgage payment. (We'll go into more detail when we talk about your loan in Chapter Six.)

On top of your mortgage, there's maintenance. Technically, this category encompasses small, routine tasks like replacing a toilet, repainting